EQUITY RESEARCH · COMPANY DEEP DIVE

Mastercard Incorporated (MA.US)

Financial Services · Credit Services
Large Cap (>$200B) · Report Date: June 12, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-12

OVERWEIGHT
Blended Target: $570.43
DCF + Comps + Analyst (see cross-check table)
Implied upside: +16.2%

Price (Jun): $490.75

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target $570.43 (+16.2% vs $490.75); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation
- Strong top-line growth (15.8% YoY)

INVESTMENT THESIS / EXECUTIVE SUMMARY

Mastercard Incorporated (MA) — Financial Services. Mastercard Incorporated, a technology company, provides transaction processing and other payment-related products and services in the United States and... **OVERWEIGHT** rating; blended target $570.43. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$433.62B	Shares Out.	877.0M
52-Week Range	$464.52 – $601.77	P/E (TTM)	28.4x
P/B	64.8x	Beta	0.74
Avg Volume	3.58M	Analyst Rec.	Strong_Buy
Revenue (TTM)	$33.94B	Rev Growth	+15.8%
Op. Margin	60.8%	FCF (TTM)	$16.43B

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	28,167	32,791	37,972	42,456	46,285
Revenue Growth (%)	N/A	16.4%	15.8%	11.8%	9.0%
Net Income ($M)	12,874	14,968	17,333	19,380	21,127
Net Income Growth (%)	N/A	16.3%	15.8%	11.8%	9.0%
Gross Margin (%)	76.3%	77.9%	100.0%	100.0%	100.0%
Net Margin (%)	45.7%	45.6%	45.6%	45.6%	45.6%
ROE (%)	198.5%	193.5%	224.0%	227.2%	235.9%
EPS ($)	14.68	17.07	19.76	22.10	24.09
Book Value / Share ($)	7.39	8.82	8.82	9.73	10.21
P/E (x)	33.43	28.75	24.83	22.21	20.37
P/B (x)	66.37	55.63	55.63	50.46	48.05
Dividend Yield (%)	72.0%	72.0%	72.0%	72.0%	72.0%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	$493.88	+0.6%	50%	Included in blend
Comps — P/E (peer median)	$251.42	-48.8%	—	Peer median P/E 14.6x
Comps — P/S (peer median)	$165.20	-66.3%	—	Peer median P/S 4.3x
Comps — Blended (avg. of available multiples)	$208.31	-57.6%	0% (excluded)	Diverges below other methods (37% of median)
Analyst consensus (Yahoo Finance)	$646.97	+31.8%	50%	Included in blend
Blended target (weighted)	$570.43	+16.2%	100%	DCF 50% + Analyst 50%
Audit (≥30% vs price)	—	—	—	Triggered (|upside| ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	8.06%
Terminal g	1.90%
FCFE growth	12.00%
Base FCFE	$16.43B
PV explicit (5Y)	$95.22B
PV terminal	$337.93B
Equity value (adj.)	$433.15B
Implied price	$493.88
vs. current	+0.6%

INDUSTRY ANALYSIS

1. Industry Overview
Mastercard Incorporated, a technology company, provides transaction processing and other payment-related products and services in the United States and internationally. The company offers products and services for account holders, merchants, financial institutions, digital partners, businesses, governments, and other organizations, such as programs that enable issuers to provide consumers with...

2. Key Trends
• Strong top-line growth (15.8% YoY)
• High operating leverage (60.8% margin)
• Defensive profile (β=0.74)
• Sector: Financial Services | Industry: Credit Services

3. Risk Factors
• Elevated leverage (D/E: 282%)

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
JPM	JP Morgan Chase & Co.	$856.17B	15.3x	N/A	33.9%	+12.7%
BAC	Bank of America Corpor	$395.07B	13.8x	N/A	29.0%	+8.1%
WFC	Wells Fargo & Company	$255.42B	12.9x	N/A	26.7%	+5.7%
GS	Goldman Sachs Group, I	$312.45B	19.3x	N/A	29.4%	+14.5%
MA*	Mastercard Incorporate	$433.62B	28.4x	20.6x	45.9%	+15.8%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.